



Compliance Professional Training

July 3, 2026

50+ Slides of Hard-Hitting Exam Content

Anti-Money Laundering (AML)

- Laws, regulations, and procedures to prevent criminals from disguising illegally obtained funds as legitimate income.
- **Three Stages:** Placement, Layering, Integration.
- **Predicate Offenses:** Drug trafficking, fraud, corruption, tax evasion, terrorism financing, and over 200 other crimes.

Counter-Financing of Terrorism (CFT)

- Efforts to prevent the financial support of terrorist organizations and activities.
- **Key Difference from AML:** The source of funds may be legitimate; the *destination* or *purpose* is illicit.
- **FATF Special Recommendations:** Focus on wire transfers, alternative remittance systems, and non-profit organizations.

Critical Concept

The global AML/CFT framework is **risk-based**, not prescriptive. Institutions must tailor controls to their specific risk profiles.

FATF's Core Functions

- Sets **40 Recommendations** (revised 2012, 2019, 2023).
- Conducts **Mutual Evaluations** (assessments of member countries).
- Issues **Public Statements** on high-risk jurisdictions.
- Monitors **emerging risks** (e.g., virtual assets, environmental crime).

FATF Lists

- **Black List (Call for Action):** Jurisdictions with strategic AML/CFT deficiencies (e.g., Iran, North Korea).
- **Grey List (Increased Monitoring):** Jurisdictions committed to resolving deficiencies (e.g., Nigeria, South Africa, UAE).
- **Consequence:** Enhanced due diligence (EDD) required for transactions involving black/grey-listed countries.

Exam Tip

Know the difference between "black list" and "grey list" and the corresponding obligations for financial institutions.

Definition (Immediate Outcome 3 (IO.3))

Financial supervision is risk-based and effective. Supervisors must:

- Use a **risk-based approach** to allocate supervisory resources.
- Conduct **on-site and off-site** inspections.
- Apply **proportionate sanctions** for non-compliance.

Definition (Immediate Outcome 4 (IO.4))

Financial institutions and DNFBPs apply preventive measures consistent with their ML/TF risks.

- CDD, EDD, record-keeping, internal controls.
- **Key:** Measures must be *proportionate* to the identified risk.

Exam Focus

IO.3 and IO.4 are prioritized by supervisors evaluating bank compliance. Know which IOs correspond to national risk assessments, supervision, and preventive measures.

Scope

Applies to all financial entities operating in the EU, including banks, investment firms, crypto-asset service providers, and third-party ICT providers.

Key Regulatory Expectation

Centralizing oversight of Information and Communications Technology (ICT) risk management across all member-state branches.

- Financial institutions must have a **unified ICT risk governance framework**.
- Conduct **ICT risk assessments** and implement **incident reporting mechanisms**.
- Manage **third-party ICT provider risks** through contracts and continuous monitoring.

Critical Action for Cross-Border Banks

Relying solely on national regulators' cybersecurity requirements is **insufficient**. DORA mandates centralized, pan-European oversight.

Major Shortcoming

Failure to ensure timely and complete transposition by all member states.

- **1st Directive (1991):** Focused on drug trafficking; lacked uniformity in implementation.
- **2nd Directive (2001):** Expanded predicate offenses but still suffered from divergent national interpretations.
- **Consequence:** Regulatory arbitrage—criminals exploited weak AML frameworks in certain EU countries.

Later Revisions (3rd-6th Directives)

- **3rd (2005):** Incorporated FATF Recommendations; introduced beneficial ownership requirements.
- **4th (2015):** Required central registers of beneficial owners.
- **5th (2018):** Enhanced transparency; extended to virtual currencies and prepaid cards.
- **6th (2020):** Harmonized predicate offenses and criminal penalties across member states.

Appropriate Contents (Select Three)

- ① **Updates on regulatory interactions and supervisory reviews.**
 - Include findings from on-site inspections, regulatory letters, and enforcement actions.
- ② **Assessment outcomes of control effectiveness on monitoring tools.**
 - Report on key performance indicators (KPIs) and key risk indicators (KRIs).
 - Identify gaps in transaction monitoring, screening, and reporting systems.
- ③ **Investigation statuses of escalated SAR reviews.**
 - Provide metrics on SAR filings, case disposition, and law enforcement feedback.

What NOT to Include

Cash flow performance figures segmented by region are *not* a core AFC governance report component—these are financial performance metrics, not AML risk indicators.

Key Elements (Select Two)

① **Assignment of compliance responsibilities.**

- Must designate a **Compliance Officer (MLRO in the UK)** with clear authority and resources.
- Define roles and responsibilities across the three lines of defense.

② **Program review triggers** based on regulatory or business events.

- Reviews must be triggered by: new regulations, significant business changes, new products/services, or changes in risk appetite.
- Frequency: Typically at least annually, plus event-driven reviews.

Other Essential Components

- **Risk assessment framework** (enterprise-wide).
- **Internal controls and audit** requirements.
- **Record-keeping and reporting** obligations.

What is EWRA?

A comprehensive, documented risk assessment that identifies, assesses, and mitigates ML/TF risks across the entire organization—not just individual business units.

Scenario: High-Risk Jurisdiction Customers via Mobile

The institution must **incorporate digital delivery channels** into the EWRA to reassess risk exposure.

- Mobile platforms often bypass branch monitoring, creating a **risk blind spot**.
- Must assess the **risk of customers from high-risk jurisdictions** using digital channels.
- **Action:** Update the EWRA to include digital-specific risk indicators.

Regulatory Expectation

EWRA must be **dynamic**—updated when new channels, products, or customer segments emerge.

Scenario

A TCSP firm is reviewing whether to accept a client who wants to incorporate in a low-tax Caribbean jurisdiction. The potential client requests confidentiality protections for all shareholders. A connection is identified to industries marked high-risk in the NRA.

Correct Response

Decline immediately unless full beneficial owner information and risk justifications are disclosed and verified.

- Connections to high-risk industries (from the National Risk Assessment) and confidentiality requests are **significant red flags**.
- Offloading responsibility to "local counsel" is **not** a valid risk mitigation strategy.
- **Alternative:** Refer to internal high-risk committee for EDD before acceptance.

Scenario

A compliance officer at a financial institution in Singapore is reviewing customer onboarding files. The customer is a PEP from outside the region, with a complex ownership structure and high-value international transactions.

Correct Action

Refer the case to the **high-risk customer review committee** for enhanced due diligence (EDD) before onboarding.

- Singapore MAS requires EDD for all PEPs, especially those from outside the region.
- EDD includes: source of wealth, source of funds, and ongoing monitoring.
- **Complex ownership structures** require beneficial ownership tracing.
- **High-value international transactions** trigger additional scrutiny.

Risk Elements (Select Two)

① **Government ownership of defense contractors.**

- Creates risk of **state capture, corruption, and diversion of public funds.**
- Defense procurement is often non-transparent.

② **Oversight by PEPs.**

- Military officials often qualify as PEPs (especially foreign military officers).
- Risk of bribery, illicit payments, and sanctions evasion.

Note on Distractor

"Clear regulations for export of dual-use technology" is *not* a risk factor—it's a control measure. Similarly, "oversight by PEPs" is correctly identified as a risk.

What is a Data Gap Assessment?

A process to identify deficiencies in AML data sources, quality, and integration.

Challenges Identified (Select Two)

❶ Missing identifiers in customer profiles.

- E.g., missing DOB, passport numbers, or beneficial ownership information.
- Impacts the ability to screen against sanctions and PEP lists.

❷ Inconsistent use of country codes across systems.

- Example: "US" vs. "USA" vs. "840" vs. "United States."
- Leads to false negatives and false positives in monitoring and reporting.

Consequences

Data gaps and inconsistencies undermine the effectiveness of transaction monitoring, screening, and regulatory reporting.

Definition

Data cleansing (or data cleaning) is the process of identifying and correcting (or removing) inaccurate, incomplete, or duplicated data.

Examples (Select Two)

❶ Removal of duplicate entries.

- Duplicate profiles in merged databases create risk of incomplete due diligence.
- Example: The same customer appears twice with different addresses and transaction histories.

❷ Validation of data accuracy.

- Checking that data conforms to defined formats (e.g., date formats, phone numbers, addresses).
- Example: Validating that a "ZIP code" field contains valid postal codes.

Why It Matters

Data cleansing is a **pre-requisite** for effective AML controls. Without clean data, transaction monitoring alerts are unreliable.

Objectives (Select Three)

- ❶ **Ensuring data inputs reflect actual customer and transaction behaviors.**
 - Test that data from source systems (core banking, CRM, etc.) accurately feeds into AML systems.
- ❷ **Verifying that automated controls are functioning correctly based on input quality.**
 - Validate that transaction monitoring rules fire alerts correctly.
 - Test that screening systems block or alert on prohibited names.
- ❸ **Testing whether controls generate alerts under appropriate risk conditions.**
 - Use known test cases (e.g., hypothetical suspicious scenarios) to validate system logic.
 - Ensure alerts are generated for true positives, not just false positives.

Maintain Effectiveness (Select Three)

1 Ensuring data quality for training algorithms.

- "Garbage in, garbage out"—AI models are only as good as their training data.
- Need to cleanse and normalize data before AI deployment.

2 Managing the change in employee workflows.

- AI will change how analysts work; must provide adequate training.
- Human-in-the-loop is still required for validation of AI outputs.

3 Verifying transparency and explainability in AI models.

- Regulators (e.g., EU GDPR, US Fair Lending) require *explainable AI*.
- Must be able to justify why an AI model flagged a particular transaction or customer.

Distractor

"Selecting third-party global audit providers" is not a primary concern for AI effectiveness—focus is on data, people, and explainability.

Scenario

An international bank is implementing a new machine learning tool to detect suspicious transaction patterns. The regulator in one of its jurisdictions requires validation and explainability of all models used in transaction monitoring.

Correct Approach

Document model development, ensure explainability, and perform validation **before deployment**.

- **Validation:** Test model on historical data to measure accuracy, precision, recall, and false positive rate.
- **Explainability:** Document model parameters, variables, and decision logic.
- **Documentation:** Maintain a comprehensive model risk management (MRM) file.

Key Regulatory Concern

"Black box" models are not acceptable; regulators require *understandable* and *auditable* models.

Definition (Entity Resolution)

The process of **linking data from multiple sources** to improve match accuracy.

How It Works

- Blockchain analytics tools (e.g., Chainalysis, Elliptic) use entity resolution to link:
 - On-chain wallet addresses.
 - Off-chain KYC data.
 - Sanctions lists, PEP lists, and adverse media.
- Example: A wallet address associated with a ransomware attack is linked to an exchange account through entity resolution.

Exam Focus

Entity resolution is **not** just about matching names; it's about linking *multiple identifiers* across systems to build a complete risk profile.

What is Fuzzy Logic?

A computational technique that accommodates **approximate, partial, or incomplete matches**—unlike exact matching (Boolean logic).

Why Integrate Fuzzy Logic?

Because it accommodates **inconsistencies in data formats and naming conventions**.

- PEP lists often contain variations: "William" vs. "Bill," "Mohammed" vs. "Muhammad," "Smith" vs. "Smyth."
- Foreign names transliterated differently (e.g., Arabic or Chinese names).
- Fuzzy logic calculates a **similarity score** and flags matches above a certain threshold.
- **Challenge:** Setting the threshold correctly to avoid false positives and negatives.

Passive Liveness Detection

Uses **minimal user interaction** and analyzes subtle facial movement or texture patterns.

- Detects liveness by analyzing:
 - Micro-expressions (e.g., blinking, slight head movements).
 - Texture analysis (e.g., skin texture, depth perception).
 - Spoof detection (e.g., detects if using a photo or video).
- **Advantage:** Seamless user experience—no action required from the user.

Active Liveness Detection

- Requires explicit user actions: blinking, smiling, turning head.
- More secure but more intrusive; may have lower completion rates.

Exam Distractor

"Asks users to answer KYC security questions during video evaluation" is *not* liveness detection—it's KYC verification.

What is a "Round-Trip" Transaction?

A series of transactions where funds are transferred out and then returned to the same account, often within a short timeframe. Typically associated with **layering**.

Analyst Workflow

- 1 Review the alert—identify a nearly identical send and receive remittance within minutes.
- 2 Confirm the transaction pattern and recent account activity.
- 3 **Escalate to Level 2** for deeper investigation.

Why Escalate?

Level 1 analysts are trained for **initial triage and data gathering**. Level 2 analysts have the experience and authority to conduct full investigations, interview customers, and potentially file SARs.

Common Risk Factors (Select Three)

① Anonymity through prepaid cards.

- Prepaid cards can be purchased with cash and used without identification.
- Reloadable cards can be used repeatedly without ongoing CDD.

② High volumes of rapid transactions.

- Card transactions are processed instantly in high volumes.
- Structuring (smurfing) can occur using multiple cards across different merchants.

③ Use by customers in high-risk sectors.

- E.g., merchants in crypto, gambling, or cash-intensive businesses.
- These sectors generate high-risk card transactions requiring enhanced scrutiny.

Key Vulnerability

Can be used anonymously, especially when reloadable or unregistered.

- **Unregistered cards:** Can be purchased with cash at retail outlets; no customer identification required.
- **Reloadable cards:** Can be topped up multiple times, potentially with illicit funds.
- **Cross-border use:** Can be used internationally, bypassing local AML controls.
- **Regulatory Response:** Many jurisdictions (e.g., EU 5th AML Directive) have imposed limits on anonymous prepaid cards (e.g., €150 cap).

Exam Point

Know the specific vulnerabilities of *prepaid*, *reloadable*, and *anonymous* cards. Each has different risk profiles.

The Challenge

High transaction volumes and decentralized payments make patterns harder to detect.

- E-commerce platforms process millions of small-value transactions daily.
- Payments are decentralized—multiple payment gateways, cryptocurrencies, and digital wallets.
- **Consequence:** Traditional rules-based monitoring generates too many false positives.
- **Mitigation:** Use AI/ML models to detect anomalies; segment data by merchant, payment method, and product.

Additional Risks

- **Goods/services as money laundering vehicles:** High-value goods (e.g., luxury items) purchased with illicit funds.
- **Trade-based money laundering (TBML):** Mis-invoicing, over/under-invoicing.

Red Flag

Making payments for high-value items in **cryptocurrency**.

- Cryptocurrency offers **pseudonymity**, making it attractive for illicit payments.
- High-value items (e.g., real estate, art, luxury cars) purchased with crypto raise suspicion.
- **Key Challenge:** Volatility and price fluctuations complicate source-of-funds verification.

Additional Red Flags for Real Estate

- **Foreign PEPs** purchasing multiple properties via trust companies.
- **Complex financing plans** spanning several years may be a red flag, but *cryptocurrency payments* are more directly associated with laundering.
- **Trusts and shell companies** used to obscure beneficial ownership.

Typical Characteristics (Select Two)

- ① **Limited customs authority** over transitory goods.
 - Goods can move in and out with minimal documentation.
 - Creates opportunity for mis-invoicing, smuggling, and trade-based ML.
- ② **Evasions of customs payments.**
 - Companies may declare goods for re-export to avoid duties, then divert them to the local market.
 - Example: Imports electronics marked for re-export; actually sells them locally, evading customs duties.

Exam Distractor

"Laundering through over-invoicing" is a TBML technique, but the specific FTZ risk in the scenario (electronics for re-export) is *evasion of customs payments*.

Core ML Vulnerability

Discretion and high client autonomy can obscure beneficial ownership and reduce transparency.

- Private banking clients expect **confidentiality**—this can be abused to hide illicit activities.
- **Complex structures:** Trusts, foundations, offshore companies, and nominee arrangements.
- **High autonomy:** Clients may execute transactions directly, bypassing internal controls.
- **Relationship managers:** May become overly close to clients, failing to report suspicious activity.

Mitigations

- Enhanced due diligence (EDD) for high-net-worth individuals and PEPs.
- Independent review of client transactions.
- Regular training for relationship managers on red flags.

Red Flag Scenario

A corporate investment bank client typically deals in low-margin bond offerings but suddenly begins issuing high-return instruments through an unfamiliar subsidiary.

Correct Response

Escalate internally and request further documentation before determining next steps.

- Sudden departure from normal business profile is a **red flag**.
- Unfamiliar subsidiary may be a shell or front company.
- **Action:** Obtain additional due diligence on the subsidiary, including beneficial ownership, financial statements, and rationale for the new product.

Purpose of FinCEN

Safeguards the financial system by administering and enforcing the Bank Secrecy Act to **detect and prevent financial crimes.**

- FinCEN is the U.S. Financial Intelligence Unit (FIU).
- Administers BSA regulations and collects Suspicious Activity Reports (SARs).
- Issues guidance and imposes civil penalties for non-compliance.
- **Key BSA Requirements:**
 - CTRs for cash transactions over \$10,000.
 - SARs for suspicious activity over \$5,000 (or \$2,000 for MSBs).
 - Record-keeping requirements for funds transfers.

Primary Objectives (Select Two)

- ❶ **Prevent unauthorized transactions** affecting vulnerable customers.
 - Consumer protection and AML overlap—fraud prevention is a core AML obligation.
 - Vulnerable customers include elderly, minors, and individuals with limited financial literacy.
- ❷ **Ensure clear and transparent disclosures** of terms.
 - Customers must understand fees, risks, and obligations.
 - Transparency reduces opportunities for mis-selling and financial abuse.

Distractor

"Promote transaction surveillance to reduce bank overhead" is *not* a consumer protection objective—it's an efficiency goal.

Scenario

A financial institution regularly receives regulatory feedback on its AFC regulatory report presentation being inconsistent across filings. One quarter, the report uses free-text formatting; the next quarter, it uses structured tabular format.

Impact

The institution **reduces the efficiency of regulatory review.**

- **Why it matters:** Regulators rely on consistent, machine-readable formats to review data efficiently.
- Mixed formats force regulators to re-map data each time, increasing review time and error risk.
- **Solution:** Standardize reporting templates across all business units and jurisdictions.

Scenario

A global compliance team is updating its investigation protocols to conform to data privacy laws across jurisdictions (e.g., GDPR, CCPA, PDPA).

Correct Actions (Select Two)

- ❶ **Create jurisdiction-specific procedures** for capturing research findings, including required formats and approval controls.
 - GDPR requires data minimization, purpose limitation, and lawful processing.
 - Each jurisdiction may have unique approval requirements for cross-border data transfers.
- ❷ **Develop a standard research template with adjustable sections** based on local data regulations.
 - Core sections are consistent (e.g., investigation findings, rationale).
 - Adjustable sections accommodate local legal requirements (e.g., retention periods, consent forms).

Why Proper Classification Matters

MSB designation triggers **specific AML compliance and reporting obligations**.

- In the U.S., FinCEN regulates MSBs under the BSA.
- Obligations include:
 - Register with FinCEN.
 - Implement a written AML program.
 - File CTRs and SARs.
 - Maintain records of funds transfers and MSB registration.
- **Consequence of misclassification:** Failure to meet MSB obligations results in fines and enforcement actions.

Scenario

A PSP is planning to offer new services targeting small merchants in multiple countries, some of which lack mature AML frameworks.

Correct Strategy

Customize AML policy and onboarding procedures per jurisdiction and product.

- One-size-fits-all approach fails to address jurisdictional risk differences.
- **High-risk jurisdictions:** Enhanced due diligence, transaction limits, or restricted services.
- **Low-risk jurisdictions:** Simplified due diligence (SDD) may be permitted.
- **Product-based customization:** E.g., low-value vs. high-value products have different risk profiles.

Distractor

"Apply home-country AML standards across all jurisdictions" is *not* optimal—it may be overly prescriptive or insufficient in different contexts.

Control Measures (Select Two)

- ❶ **Enforcing chip redemption policies** tied to minimum gaming thresholds.
 - Prevents "chip washing"—exchanging chips for cash without meaningful gaming activity.
 - Common threshold: \$10,000 in the U.S. triggers reporting.
- ❷ **Tracking player activity** through registered loyalty programs.
 - Loyalty programs provide rich data on player behavior.
 - Enables tracking of wins, losses, and session durations to detect anomalies.

Distractor

"Monitoring unstructured table gameplay for win/loss patterns" is too granular and not a formal control measure—it's a *monitoring technique*.

Scenario

A client wants to open a retail dispensary account in a province/state where recreational marijuana is legalized, even though marijuana remains illegal under national law. The financial institution is federally regulated.

Correct Action

Apply **enhanced due diligence**, assess provincial/state law compliance, and consult internal legal guidance.

- **Federal vs. State/Provincial Law:** Federal law (e.g., U.S. Controlled Substances Act) prohibits marijuana; state law may permit it.
- **FinCEN Guidance:** Requires filing SARs on CRB activity (Marijuana Limited SAR or Priority SAR).
- **EDD Elements:** Verify state licenses, monitor for cross-state activities, and assess source of funds.

Minimizing Sanctions Risk

Implement robust **blockchain analytics** and transaction monitoring tools to screen wallet addresses against sanctions lists.

- **Sanctions screening:** Must screen all crypto transactions against OFAC, EU, UN, and other sanctions lists.
- **Entity resolution:** Links on-chain addresses to off-chain risk data (e.g., identifies wallets associated with sanctioned entities).
- **Real-time screening:** Transactions must be blocked or rejected before settlement.
- **Travel Rule compliance:** FATF Recommendation 16 requires transfer of originator/beneficiary info for crypto transfers.

Technology Solution

Implement **perpetual KYC** with centralized data and trigger-based updates.

- **What is pKYC?** Continuous, event-driven KYC refresh rather than periodic reviews (e.g., every 3-5 years).
- **Triggers for pKYC Updates:**
 - Changes in PEP status.
 - Adverse media hits.
 - Unusual transaction patterns.
 - Jurisdictional risk changes.
- **Benefits:** Reduces customer friction, improves accuracy, and ensures timely EDD.

Common Issues in AML Data

- **Missing identifiers** in customer profiles (e.g., no DOB, no tax ID).
- **Inconsistent address formats** (e.g., "123 Main St." vs. "123 Main Street").
- **Duplicate profiles** resulting from system mergers or poor data entry.
- **Misalignment** between transaction monitoring scenarios and typologies (e.g., rules detecting the wrong behaviors).

Remedy

Initiate a **data cleansing process** targeting missing and duplicated records.

Who are the Key Stakeholders?

- **Internal:**

- Board of Directors and Audit Committee.
- Compliance Committee and MLRO.
- Business Units (e.g., Retail, Corporate, Wealth).
- IT and Data Management Teams.
- Internal Audit.

- **External:**

- Regulators (e.g., FinCEN, FCA, MAS, ESMA).
- FIUs.
- Law Enforcement.
- Customers.

Key Principle

Effective stakeholder management requires **clear communication**, **escalation protocols**, and **regular reporting**.

Elements of a Strong Culture

- **Tone from the Top:** Leadership must actively prioritize and demonstrate commitment to AML/CFT.
- **Training:**
 - Role-specific training tailored to each business unit.
 - Case studies and scenario-based learning.
 - Annual refresh and updates for regulatory changes.
- **Awareness:** Employees should understand the "why" behind controls—not just the "what."
- **Whistleblower policies:** Encourage reporting without fear of retaliation.

Scenario

During post-acquisition integration, a compliance team is reviewing merged customer databases and identifies multiple entries with inconsistent address formats and duplicate profiles.

Correct Priority

Initiate a **data cleansing process** targeting missing and duplicated records.

- Immediate action is to **cleanse the data** to ensure accurate reporting, monitoring, and screening.
- Additional steps:
 - ① Conduct a **data coverage and gap assessment**.
 - ② Harmonize **country code standards** and data formats.
 - ③ Align **transaction monitoring scenarios** across merged entities.

- **AI and Machine Learning:**

- Enhanced detection of complex patterns (e.g., network analysis for syndicates).
- Predictive models to identify emerging risks.

- **Blockchain Analytics:**

- Deeper on-chain monitoring for DeFi, NFTs, and cross-chain transactions.
- Enhanced entity resolution for attribution.

- **Data Sharing:**

- Public-private partnerships for information exchange (e.g., JMLIT, FinCEN Exchange).
- Balance between privacy and security.

- **RegTech:**

- Automation of compliance, reporting, and KYC.
- AI-driven regulatory change management.

Key Steps for Jurisdictions

- ➊ **Address strategic deficiencies** identified by FATF (e.g., in AML/CFT framework, supervision, or enforcement).
- ➋ Improve supervision of **DNFBPs** (e.g., casinos, real estate agents, lawyers).
- ➌ Enhance **beneficial ownership transparency**.
- ➍ Demonstrate **effective implementation** and enforcement of AML/CFT measures.
- ➎ Engage in **continuous reporting** to FATF on progress.

Consequences of Non-Remediation

Enhanced due diligence requirements for transactions involving the jurisdiction, reputational risk, and potential sanctions.

- ① **Know Your Customer (KYC)** is the foundation of AML—CDD, EDD, and SDD.
- ② **Risk-based approach** is key: assess, mitigate, monitor, and adapt.
- ③ **Data quality** is non-negotiable for effective AML controls.
- ④ **FATF standards** are the global benchmark—know the 40 Recommendations and Immediate Outcomes.
- ⑤ **Technology is a tool, not a replacement** for human judgment and oversight.
- ⑥ **Regulations are dynamic**—stay updated on DORA, EU Directives, and national laws.

- **Read questions carefully:** Look for qualifiers like "Select Three," "Select Two," or "Select All That Apply."
- **Think like a compliance officer:**
 - When in doubt, *escalate*, *document*, and *validate*.
 - Focus on the risk-based approach—not prescriptive rules.
- **Understand the "why":** Don't just memorize definitions; understand the underlying logic.
- **Know the frameworks:** FATF, DORA, Wolfsberg, EU Directives, and national laws (e.g., BSA, MAS).
- **Time management:** 2 minutes per question; don't get stuck.

Question

Which of the following represent common risk factors associated with card-based products? (Select Three.)

Answer

- ① Anonymity through prepaid cards.
- ② High volumes of rapid transactions.
- ③ Use by customers in high-risk sectors.

Explanation

These factors directly enable money laundering and terrorist financing. The anonymity of prepaid cards, rapid transaction volumes, and connection to high-risk sectors all increase AML risk.

Question

A compliance officer at a financial institution in Singapore is reviewing a PEP case. What action is most consistent with Singapore's AML framework?

Answer

Refer the case to the high-risk customer review committee for enhanced due diligence before onboarding.

Explanation

Singapore MAS requires EDD for all PEPs, especially those from outside the region. Committee-level approval ensures appropriate oversight and documentation.

Question

Which actions are examples of data cleansing processes? (Select Two.)

Answer

- ① Removal of duplicate entries.
- ② Validation of data accuracy.

Explanation

Data cleansing is about *correcting and standardizing* data—not about *gathering* data. Duplicate removal and accuracy validation are core cleansing activities.

Question

Why is transaction monitoring particularly challenging in an e-commerce risk context?

Answer

High transaction volumes and decentralized payments make patterns harder to detect.

Explanation

Traditional rules-based monitoring struggles with high-volume, low-value transactions. Decentralized payments (multiple gateways, crypto) further complicate detection.

Question

A firm in a FTZ imports electronics marked for re-exportation. The firm also deals in the same electronics on the local market. What risk does this represent?

Answer

Evasion of customs payments.

Explanation

The firm is likely declaring goods for re-export to avoid import duties, then diverting them to the local market—this is customs duty evasion, not over-invoicing.

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- ❶ What is the primary purpose of fuzzy logic in PEP screening?
- ❷ Which FATF Immediate Outcomes do supervisors prioritize for evaluating banks' preventive measures?
- ❸ What is the best action for a TCSP firm when a client requests confidentiality and is linked to high-risk industries?
- ❹ Under DORA, what is the key regulatory expectation for cross-border EU banks?
- ❺ What is the difference between FATF's "black list" and "grey list"?
- ❻ Why is "passive liveness detection" preferred over active methods in some contexts?
- ❼ What is the core vulnerability of private banking in the AML context?
- ❽ What action should a PSP take when entering a jurisdiction with an immature AML framework?

Thank You Good Luck on Your CAMS Exam!

Remember: Risk-Based, Data-Driven, and Expert-Validated.